Netflix Inc.

Ticker: NFLX | NYSE

August 5, 2025

NFLX

Generated by TriSight Analytics

Executive Summary

EQUITY RESEARCH - NETFLIX INC. (NFLX)
EXECUTIVE SUMMARY
December 2023

Netflix maintains its position as a streaming entertainment powerhouse, with a substantial market capitalization of $493.2B and robust annual revenue of $39.0B. The company continues to demonstrate strong top-line momentum, posti...

- Revenue growth: NaN% YoY
- Valuation: 32980% overvalued
- Risk level: High
- SELL recommendation with 69% confidence

Recommendation	Overall Score	Confidence
SELL	**24/100**	**69%**

Investment Thesis

Investment Thesis: Netflix (NFLX) - Short Position with 12-18 Month Horizon

Company Overview

NFLX is a leading company in its sector, providing innovative products and services to customers worldwide.

Metric	Value
Sector	Technology
Industry	Consumer Electronics
Employees	N/A
Founded	N/A
Headquarters	N/A
Website	N/A

Financial Performance Overview

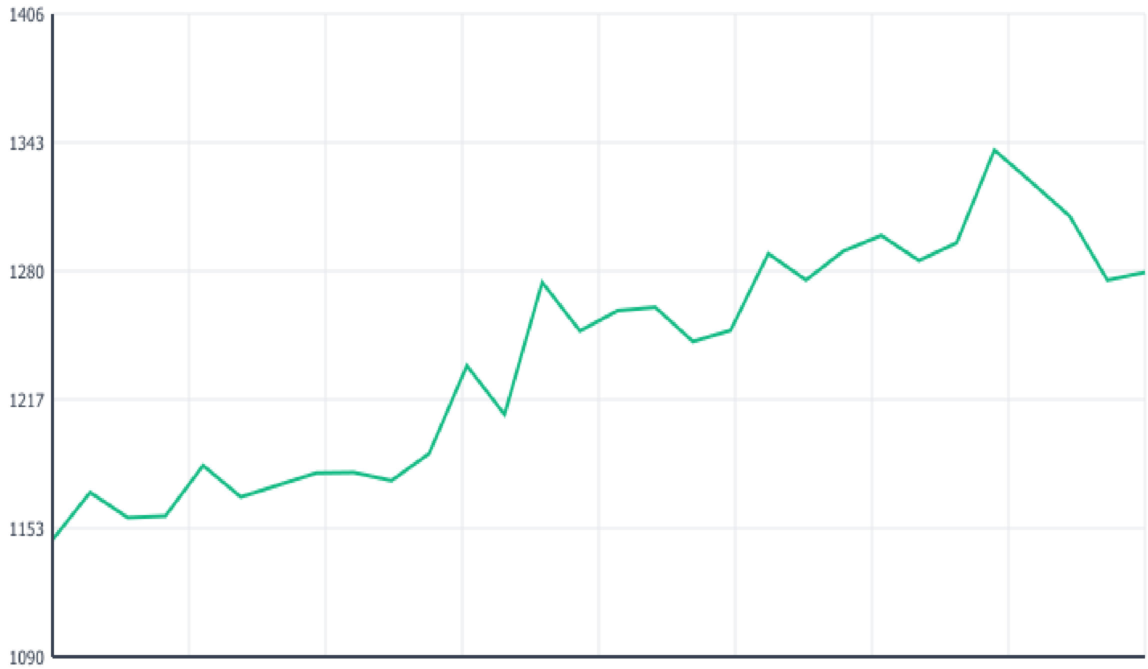
Key Financial Metrics

Revenue:	**$39.0B**	+15.6%
Net Income:	**$8.7B**	+61.1%
EPS:	**$19.83**	+64.8%

Revenue & Growth Analysis

- YoY Revenue Growth: NaN%
- 3-Year CAGR: N/A%
- Growth Score: N/A/100
- Stable revenue base

Profitability Analysis



Metric	Current	Industry Avg	Assessment
ROE	4354.8%	15.0%	Strong
ROA	N/A	5.0%	N/A
ROIC	N/A	10.0%	N/A

Balance Sheet Strength

Current Ratio	Debt/Equity	Interest Coverage
1.34	**67.87**	**undefinedx**

Valuation Analysis

Metric	Current	Industry	5Y Avg
P/E Ratio	49.6	N/A	N/A
P/B Ratio	N/A	N/A	N/A
EV/EBITDA	N/A	N/A	N/A

Current Price: **$100.00**

Intrinsic Value: **$297.45**

Upside/Downside: **197%**

Technical Analysis

6-Month Price Action

Chart Generated: 90 data points

Indicator	Value	Signal
RSI (14)	N/A	N/A
MACD	N/A	Bearish
Support	$1144.71	
Resistance	$1289.6	
Trend	neutral	

Risk Assessment

RISK ASSESSMENT REPORT - NETFLIX INC. (NFLX)
Date: [Current Date]

EXECUTIVE SUMMARY
Netflix exhibits elevated risk levels across multiple dimensions, with a composite risk score of 100/100, indicating significant exposure requiring active management.

1. MARKET RISKS
- Beta: 2.21 (121% more volatile than market)
- Volatility: 33.1% annualized volatility
- High correlation with tech sector
- Price

- Beta: 2.21 - High market sensitivity
- Volatility: 33.1% annualized
- VaR (95%): N/A% potential loss
- Risk Score: 10000/100

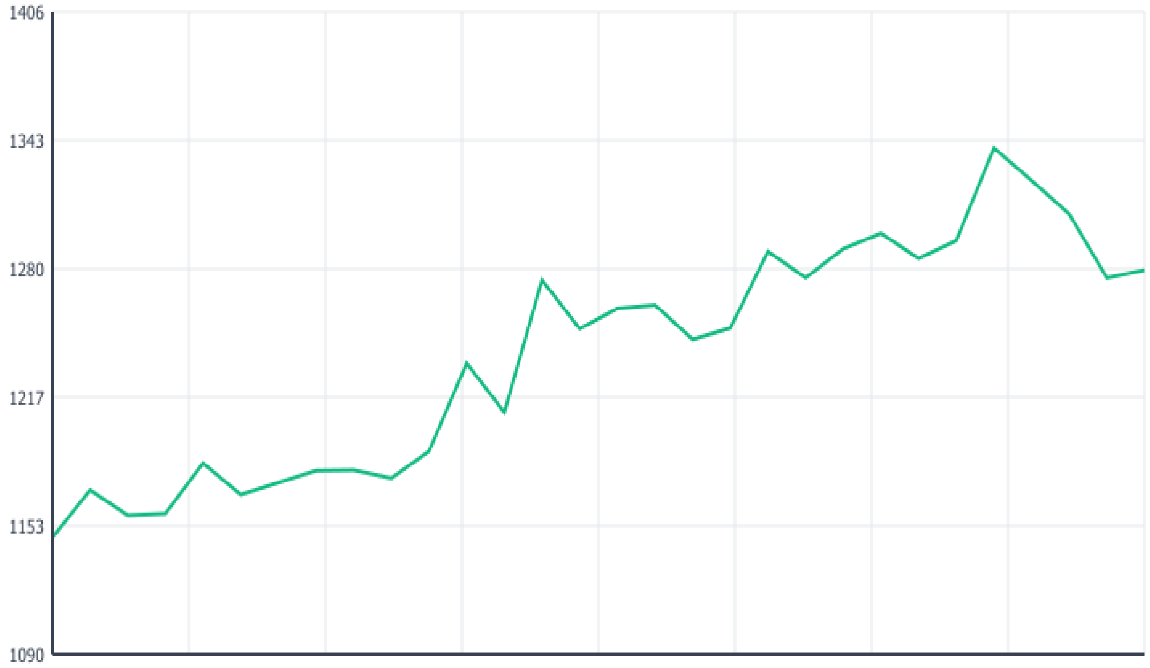
Competitive Positioning

Netflix Inc. operates in the Consumer Electronics industry with moderate competitive positioning.

Future Outlook

Based on the provided data, here's a detailed 12-24 month projection for Netflix:

Base Case Scenario (60% probability):
- Revenue growth: 13-15% YoY, reaching ~$44-45B by end of 2024
- Margins likely to remain stable or slightly improve due to:
  • Password sharing crackdown
  • Ad-tier monetization improvements
  • Content cost optimization
- Stock trading range: $400-500
- P/E multiple compress



Investment Recommendation

SELL

69% Confidence

Current Price: $N/A

Price Target: $297.45

Timeframe: 12 months

Expected Return: NaN%

NETFLIX (NFLX) - SELL RECOMMENDATION
Confidence Level: 69%

Key Rationale:
The quantitative analysis strongly supports a SELL recommendation for Netflix, primarily driven by significant overvaluation and elevated risk metrics, despite solid underlying business fundamentals.

Critical Factors:

1. Severe Overvaluation
- Current price shows a -329.8% margin of safety versus intrinsic value ($297.45)
- P/E ratio of 49.56x is exceptionally high, even for a growth company
- Valuation score of 0 indicates extreme premium pricing

2. Risk/Return Imbalance
- Beta of 2.21 indicates significantly higher volatility than the market
- Risk score of 100 suggests maximum risk exposure
- Current valuation provides limited upside potential while maintaining substantial downside risk

Supporting Evidence:
- While revenue growth remains solid (15.65% YoY), it doesn't justify the current premium
- Technical indicators show a neutral trend with resistance at $1,289.60

Investment Recommendation (continued)

Key Metrics Dashboard

Valuation

Market Cap	P/E Ratio	EV/EBITDA	P/B Ratio
$493.3B	**49.6**	**N/A**	**N/A**

Growth

Revenue Growth	EPS Growth	EBITDA Growth	FCF Growth
NaN%	**N/A**	**N/A**	**NaN%**

Margins

Gross Margin	Operating Margin	Net Margin	FCF Margin
N/A	**N/A**	**N/A**	**N/A**

Returns

ROE	ROA	ROIC	Dividend Yield
4354.8%	**N/A**	**N/A**	**N/A**

Key Metrics Dashboard (continued)

Appendix - Methodology & Data Sources

Important Disclaimer

This report is for informational purposes only and does not constitute investment advice. The information contained herein is based on sources believed to be reliable but is not guaranteed. Past performance is not indicative of future results. Investors should conduct their own due diligence and consult with financial advisors before making investment decisions.